NISM SERIES X-A · SEPTEMBER 2026 WORKBOOK · STUDY NOTES

Investment Adviser – Level 1

Learn to think like a fee-only fiduciary: plan the money, pick the mix, measure the result, follow the rules.

Think of an Investment Adviser as a family doctor for money: before prescribing anything, the doctor checks your budget, your debts, your goals and how much risk you can stomach, and is paid by you, not by the pharmacy. X-A is the first of two NISM exams (with X-B) that every individual SEBI-registered Investment Adviser, every principal officer of a non-individual adviser and every person associated with advice must pass. It covers personal financial planning and time value of money, India's markets and products (equity, bonds, derivatives, mutual funds, PMS, AIFs), portfolio theory and performance measurement, and the rules, ethics and grievance systems an adviser lives by. SEBI requires it so that anyone charging a fee for advice meets a common minimum knowledge benchmark and acts in the client's best interest.

📋 Exam pattern

150	180 min	60%	25% of the marks assigned to the question
Total marks	Duration	Pass mark	Negative marking

90 MCQs + 9 caselets (45 caselet questions) = 135 questions · Pass mark is 90 out of 150. Test-centre computers have Microsoft Excel or LibreOffice for numericals, so practise PV, FV, PMT, NPER, RATE, IPMT, PPMT, PRICE and YIELD functions. Caselets are worth 60 of the 150 marks.

👥 Who needs it

- Individual investment advisers registered under SEBI (Investment Advisers) Regulations, 2013 (must pass both X-A and X-B)
- Principal officer of a non-individual investment adviser (company, LLP, partnership firm)
- Persons associated with investment advice (employees, sales staff, partners who give advice)
- Partners of an IA partnership firm who are engaged in giving investment advice
- Anyone planning a career as a fee-only financial planner, wealth adviser or robo-advisory product owner

🧭 Exam strategy

- Budget time: about 75 minutes for 90 MCQs, about 90 minutes for 9 caselets, 15 minutes buffer for review.
- Do the three 2-mark caselets carefully: 30 marks ride on 15 questions, and a wrong answer costs 0.5 marks.
- Negative marking is only 25%, so answer when you can eliminate two options; skip pure guesses.
- Keep Excel open for TVM, EMI, bond PRICE/YIELD and IRR; type = 0 for end of period unless the question says beginning.
- Module 1 (37 marks) and Module 6 (30 marks) together are 45% of the paper: master ratios, TVM and the IA Regulations first.
- In caselets, write down the client's numbers once (assets, liabilities, income, expenses) and reuse them across all sub-questions.
- For 'which is NOT' and multi-statement items, test each statement independently against a rule you can quote.
- Watch units: monthly vs annual rates, lakh vs crore, percentage vs decimal.
- When a regulatory option sounds client-friendly but involves the IA taking commission, handling client money or guaranteeing returns, it is wrong.



Chapter 1 · Weight: Module 1 (Ch 1–4): 37 marks

Introduction to Personal Financial Planning

Financial planning lines up a household's income, expenses, assets and liabilities so that today's needs and tomorrow's goals are both funded. It is holistic, goal-centred and continuous, unlike one-off product advice.

MAKE IT STICK

Vinod, 40, earns ₹2 lakh a month and saves ₹40,000. He thinks he is fine. A planner asks: emergency fund? enough life and health cover? how big a corpus for his child's college, and is ₹40,000 enough to build it? Financial planning is just asking those questions in order.

1. Financial planning = streamlining income, expenses, assets and liabilities to meet current and future needs; it identifies goals and puts an action plan in place.
2. It differs from typical advisory: comprehensive (retirement, insurance, investment, estate), goal-centred, coordinated, continuously monitored and considers risk as well as return.
3. Goals must be specific, measurable, realistic and time-bound, and then ranked by priority (education and retirement before luxury spending).
4. Some goals may be staggered (pushed back) rather than cancelled; time-bound goals like a child's education can be bridged with prudent loans.

5 Scope: goal setting, cash flow and budgeting, insurance planning, debt management, investment planning and asset allocation, tax planning, retirement planning, estate planning.

6 Advisers take a top-down asset-allocation approach rather than focusing on stock or bond picking.

7 Tax efficiency should not be the basis of investment decisions; requirements and risk appetite should be.

8 Physical assets (real estate, gold) are tangible, inflation hedges but illiquid and lightly regulated; financial assets are standardised, regulated, divisible and easier to compare.

9 Net worth = Assets - Liabilities; loans used to buy financial assets (leveraging) are risky because of price volatility.

10 Six-step process: establish relationship, gather data and goals, analyse status, develop and present recommendations, implement, monitor.

11 Business models: fee-only planners, execution-only (distributors earning commission), wraps and platforms.

12 An individual IA cannot do both advisory and distribution; a non-individual IA needs client-level segregation at group level and an arm's-length separate division.

13 IAs may offer execution only through direct schemes/products, with no consideration at group or family level.

Steps in financial planning process	Net worth	Goal features	Individual IA + distribution
6	Assets – Liabilities	Specific, measurable, realistic, time-bound	Not allowed – choose one

🎯 EXAM TIP

Expect 'which is NOT a step in the planning process' (e.g. financing the investments is not a step) and questions on the difference between financial planning and product advice.

⚠️ TRAP

Fee-only advisers usually do not execute; when an IA does provide implementation it must be through direct plans with zero commission anywhere in the group or family. Do not confuse this with a distributor who earns trail commission.



Chapter 2 · Weight: Module 1 (Ch 1–4): 37 marks

Time Value of Money

Money today is worth more than the same money later because it can earn a return. Present value, future value, CAGR, EMI, NPER, annuities and perpetuities are the tools that move cash flows across time.

MAKE IT STICK

₹100 in a 6% one-month deposit becomes ₹100.50. So ₹100 today equals ₹100.50 next month; if someone offers you just ₹100 next month, you are losing 50 paise. Every TVM problem is that trade-off, scaled up.

1. TVM: earlier cash flows are worth more; the later the cash flow, the lower its PV; the higher the discount rate, the lower the PV.
2. PV = FV / (1+r)^n; FV = PV x (1+r)^n, where r and n are per compounding period.
3. Adjust for compounding frequency: 8% p.a. compounded quarterly means 2% per quarter and 4 periods a year.
4. More frequent compounding gives higher maturity value (₹5 lakh at 8% for 5 years: ₹7,34,664 annual vs ₹7,42,974 quarterly).
5. Simple interest ignores compounding: interest taken out and spent earns nothing further.
6. CAGR = (End/Begin)^(1/n) - 1; for days use n = days/365, so the exponent becomes 365/days.
7. Excel: PV(rate,nper,pmt,fv,type), FV(rate,nper,pmt,pv,type), PMT, NPER, RATE; type 0 = end of period, 1 = beginning.
8. EMI uses monthly rate (annual/12) and months as periods; ₹30 lakh, 6.5%, 20 years gives EMI of about ₹22,367.
9. Annuity: regular payments; fixed vs floating annuities. Ordinary annuity pays at period end; annuity due at the start and is worth more.
10. PV of ordinary annuity = C x [1 - 1/(1+r)^n] / r; ₹5,000 for 4 years at 10% = ₹15,849 (ordinary) vs ₹17,434 (due).
11. Perpetuity PV = C / r (e.g. ₹10,000 at 8% = ₹1,25,000); perpetual bonds and lifelong pensions are examples.
12. Annuity tables give a factor: PV = payment x factor (10 years at 5% = 7.7217).

Excel type for end of period	Excel type for beginning (annuity due)	Perpetuity value	CAGR exponent for d days
0 (default)	**1**	**C / r**	**365/d**

🎯 EXAM TIP

Numericals dominate: EMI, PV of an annuity, CAGR over non-annual periods, perpetuity value and the effect of compounding frequency. Keep monthly rate and months consistent.

⚠️ TRAP

Annuity due vs ordinary annuity: payments at the start are worth MORE to the receiver and cost MORE to the payer. Also do not divide the rate by 12 and forget to multiply years by 12.



Chapter 3 · Weight: Module 1 (Ch 1–4): 37 marks

Evaluating the Financial Position of Clients

Budgets, income-expenditure statements and a personal balance sheet tell you where the client stands; personal finance ratios turn that picture into numbers you can track.

MAKE IT STICK

NFG spends ₹1.5 lakh a month and holds ₹7 lakh in savings, ₹2 lakh in short FDs and ₹4 lakh in liquid funds. Liquid assets ₹13 lakh / ₹1.5 lakh = 8.66 months of cover: comfortable. The ₹3 lakh in shares does not count because its value can swing.

1. Cash flow management matters because timing mismatches force costly borrowing even when income exceeds spending.
2. Budget order: regular income, less mandatory expenses (loans, taxes) = disposable income, less essential living expenses, less discretionary expenses = savings.
3. Savings include PF contributions (employer and employee), even though not received in hand.
4. Income-expenditure statement is accrual-based (salary for the month counted even if received next day); a cash statement is not.
5. Emergency fund should be the first goal: six months of expenses in liquid assets; can be laddered with about three months liquid if income is secure; review annually or when a big EMI is added.
6. Savings ratio = Savings / Income; Expense ratio = Recurring expenses / Income = 1 - Savings ratio.
7. Savings-to-income ratio (accumulated savings / annual income) should be at least 3 times in the early 40s; self-occupied home excluded.
8. Leverage ratio = Total liabilities / Total assets; Solvency ratio = Net worth / Total assets = 1 - Leverage ratio.
9. Liquidity ratio = Liquid assets / Monthly expenses (including EMIs); 4 to 6 is comfortable; shares, long FDs and closed-end funds are excluded.
10. Liquid assets: savings bank, FDs maturing within 6 months, liquid funds.
11. Financial assets ratio = Financial assets / Total assets; higher is preferred as goals approach.
12. Debt-to-income ratio = Monthly debt servicing / Monthly income; above 35–40% is excessive.
13. Non-recurring expenses are excluded from the expense ratio; periodic items are annualised (a ₹6 lakh holiday every 3 years = ₹2 lakh a year).
14. Conservative asset estimate excludes personal jewellery, the self-occupied house and personal-use assets like a car.

Emergency fund	**6 months of expenses**
Comfortable liquidity ratio	**4 to 6 (months)**
Excessive debt-to-income	**Above 35–40%**
Savings-to-income in early 40s	**At least 3 times annual income**
Liquid FD	**Matures within 6 months**

🎯 EXAM TIP
Caselets love a client snapshot (income, expenses, assets, liabilities) followed by ratio questions: leverage, solvency, liquidity, expense ratio and liquid assets to net worth.

⚠️ TRAP
Leverage uses TOTAL liabilities over TOTAL assets, not loans over net worth. Debt-to-income uses MONTHLY EMI over MONTHLY income. Equity shares are not liquid assets for the liquidity ratio.

Chapter 4 · Weight: Module 1 (Ch 1–4): 37 marks

Debt Management and Loans

Borrowing uses tomorrow's income today. Advisers help clients borrow for the right purpose, at the right cost and tenor, understand loan maths, and get out of debt faster.

MAKE IT STICK
Revolving a credit card at 3% a month feels small, but (1.03)^12 - 1 is a 42.6% annual cost. That single line explains why every repayment plan in this chapter kills credit-card debt first.

1. Borrow ideally for appreciating assets or income-raising expenses (e.g. education); never for regular expenses; margin-funded investing magnifies losses.
2. Secured loans (home, vehicle, gold, against securities) are cheaper; unsecured (personal loans, credit cards) are expensive.
3. Shorter tenor = higher EMI pressure; longer tenor = more total interest.
4. Credit score (CIBIL range 300–900) is built by timely payment, low utilisation and a mix of secured and unsecured credit; one free full credit report per calendar year from each credit bureau.
5. Credit bureaus are licensed by RBI under the Credit Information Companies (Regulation) Act, 2005: CIBIL, Experian, CRIF High Mark, Equifax.
6. Pledge: movable asset stays with lender; hypothecation: asset stays with borrower (car loan); mortgage: immovable property.
7. Hire purchase transfers ownership on the last instalment; lease never transfers ownership to the lessee.
8. Moratorium pauses EMIs without default but interest keeps accruing; pre-EMI is interest-only until full disbursal.
9. RBI: no prepayment charges on home loans from banks.
10. Education loans repay after course completion or employment, whichever is earlier, usually over 5–8 years; vehicle loans 3–7 years.
11. In an EMI, the interest share is highest at the start; Excel IPMT gives interest and PPMT the principal for a given period.
12. Restructuring should be judged by the present value of new payments; a haircut lowers PV.

13 Most borrowers prefer to keep EMI fixed and change tenure when floating rates change.

14 Avalanche = highest rate first; Snowball = smallest balance first (motivational); Blizzard = smallest first, then switch to highest rate.

3% per month revolving cost	42.6% p.a.
CIBIL score range	300 to 900
Free credit report	Once per calendar year per bureau
Education loan repayment	5 to 8 years
Vehicle loan tenor	3 to 7 years

🎯 EXAM TIP
Expect EMI/IPMT/PPMT numericals, ordering of debts under avalanche vs snowball vs blizzard, and pledge vs hypothecation vs mortgage.

⚠️ TRAP
Blizzard starts like snowball (smallest balance) and then becomes avalanche (highest rate). Moratorium is not a waiver: interest continues and compounds.

Chapter 5 · Weight: Module 2 (Ch 5–6): 10 marks

Introduction to the Indian Financial Markets

Who regulates what in India, and how banks, NBFCs, money markets, forex, credit bureaus, account aggregators and the SEBI-regulated securities market fit together.

MAKE IT STICK
Picture India's financial system as a city: RBI runs the water and power (money, banks, payments), SEBI polices the stock bazaar, IRDAI looks after insurance, PFRDA after pensions, and the Finance Ministry is the municipal council over them all.

1 Ministry of Finance has five departments: Economic Affairs (capital markets, macro policy), Expenditure, Revenue (CBDT and CBEC), Financial Services (PSU banks, insurance, pension reforms), DIPAM (disinvestment).

2 Ministry of Corporate Affairs administers the Companies Act 2013, LLP Act 2008 and Competition Act 2002, and oversees ICAI, ICSI and ICMAI; RoC registers companies.

3 RBI: monetary policy (price stability with growth), regulator of banks and payment systems, forex manager, currency issuer, banker to government and banks.

4 SEBI (statutory body under SEBI Act, 1992): protect investors, develop and regulate the securities market.

5 IRDAI (IRDA Act, 1999) licenses insurers and regulates products and intermediaries; PFRDA (PFRDA Act, 2013) regulates NPS.

6 SRO under SEBI (SRO) Regulations, 2004: organisation of intermediaries recognised by SEBI, excluding a stock exchange.

7 Payments banks: deposits up to ₹1,00,000, debit cards but no credit cards, no lending.

8 NBFCs cannot accept demand deposits, issue cheques or offer DICGC deposit insurance; HFCs now regulated by RBI.

9 Money market: maturity under 1 year; call (overnight), notice (up to 14 days), CP, CD, T-bills.

10 FBIL publishes daily reference rates for USD, EUR, GBP and JPY against INR.

11 Account Aggregators are RBI-licensed and share data only with the customer's consent, which can be revoked anytime.

12 Securities are defined in Section 2(h) of SCRA, 1956; ULIPs are excluded.

13 Depositories: NSDL and CDSL; DPs are agents of depositories; custodians serve institutions.

Definition of securities	Payments bank deposit cap	Notice money	SRO regulations
Section 2(h), SCRA 1956	**₹1,00,000**	**Beyond overnight, up to 14 days**	**SEBI (SRO) Regulations, 2004**

🎯 EXAM TIP
Questions are mostly 'which regulator / which ministry department' matching, plus SCRA definition of securities and payments bank limits.

⚠️ TRAP
Investment of funds by insurance companies is regulated by IRDAI, not SEBI or RBI. An SRO excludes a stock exchange.



Chapter 6 · Weight: Module 2 (Ch 5–6): 10 marks

Securities Market Segments

Primary markets raise new capital (IPO, FPO, private placement, QIP, rights); secondary markets give liquidity and price discovery, protected by margins, circuit breakers and settlement guarantees. Corporate actions change the shareholder's position.

MAKE IT STICK
In a book-built issue of 5,000 shares, bids pile up from the top price down: 1,000 at ₹144, 1,500 at ₹140, 2,500 at ₹135. The book fills at ₹135, so that is the cut-off and everyone who bid ₹135 or more is allotted at ₹135.

1 IPO is by an unlisted issuer; FPO by a listed issuer; both can include an offer for sale (OFS) by existing holders, whose proceeds go to the sellers, not the company.

2 Preferential issue: listed issuer to select persons; QIP: listed issuer to qualified institutional buyers.

3 Book building: price band ceiling up to 20% above the floor; cut-off is the price at which the issue is subscribed.

4 Retail discount to cut-off cannot exceed 10%.

5 Minimum application value for book-built issues: ₹10,000 to ₹15,000; applications only through ASBA (UPI for retail).

6 Public debt issues need at least one credit rating (all ratings disclosed) and a SEBI-registered debenture trustee.

7 T-bills (91, 182, 364 days) are issued only by the Central Government; State Governments issue only dated securities (SGS).

8 Market-wide circuit breakers at 10%, 15% and 20% on Sensex or Nifty 50, whichever is breached first.

9 Price bands: 2%, 5% or 10% on specified scrips; 20% on remaining scrips; none for derivatives scrips (operating range 10%).

10 Clearing corporation becomes counterparty to every trade (novation); Core SGF guarantees settlement.

11 Stock exchanges inspect trading members' books at least once a year.

12 Bonus issue comes from free reserves; not allowed if the company has defaulted on debt or FD payments.

13 Stock split 1:5 turns 100 shares of ₹10 face value into 500 shares of ₹2; holding value unchanged.

14 Buyback extinguishes shares and raises EPS; delisting can be voluntary (reverse book building) or compulsory.

Price band width	Max retail discount	Minimum IPO application	Circuit breaker levels
Up to 20% above floor	**10% of the cut-off price**	**₹10,000 to ₹15,000**	**10%, 15%, 20%**

T-bill tenors
91, 182, 364 days

🎯 EXAM TIP

Classic picks: cut-off price from a bid table, OFS vs fresh issue effect on share capital, circuit-breaker levels, and stock split/bonus effects.

⚠️ TRAP

In an OFS the company's share capital does NOT change and the company receives nothing. A stock split changes face value; a bonus issue keeps face value and capitalises reserves.



Chapter 7 · Weight: Module 3 (Ch 7–10): 30 marks

Introduction to Investment

A tour of asset classes: equity and preference shares, debt and credit ratings, commodities, real estate, structured products, distressed securities, art, overseas investing, and the channels to access them.

MAKE IT STICK

Tata Motors issued DVR shares in 2008 with 1/10th the voting rights but a 5% higher dividend: you trade a slice of control for a slice more cash. Every asset in this chapter is a similar trade-off of risk, return, liquidity and control.

1. Preference shares rank above equity for dividends and liquidation; usually no voting rights; can be cumulative/non-cumulative, participating/non-participating, convertible; called hybrid securities.
2. DVRs permitted in India since 2000 with limited adoption.
3. Credit spread = corporate yield - G-Sec yield of same maturity; it is the risk premium for default.
4. Rating scale AAA (highest safety) to D (default); BBB and above is investment grade, below BBB is high yield or junk.
5. Soft commodities (grown, perishable, volatile, weather-driven) vs hard commodities (mined); gold is a safe-haven asset; commodities give no current income.
6. Real estate: inflation hedge, diversification, long-term, large ticket; REITs give smaller-ticket access.
7. Structured products use derivatives; protection can be 0% to 100%, not guaranteed; Market Linked Debentures are the common form.
8. Distressed securities ('fallen angels') need special valuation skill; popular with hedge funds, PMS and AIF products.
9. LRS lets a resident individual invest up to USD 2,50,000 abroad per financial year.
10. Managed portfolios: Mutual Funds, AIFs, Portfolio Managers, Collective Investment Schemes; all SEBI-regulated.
11. Minimum ticket: AIF ₹1 crore, PMS ₹50 lakh; MFs are the most stringently regulated because they serve retail investors.

Investment grade	LRS limit	AIF minimum investment	PMS minimum investment
BBB and above	**USD 2,50,000 per financial year**	**₹1 crore**	**₹50 lakh**

🎯 **EXAM TIP**
Expect rating-scale meaning, investment grade cut-off, credit spread definition, and AIF vs PMS vs MF comparisons.

⚠️ **TRAP**
Structured products and MLDs are NOT capital-guaranteed products even if they show protection features.



Chapter 8 · Weight: Module 3 (Ch 7–10): 30 marks

Investing in Stocks

Equity is the residual claim with the highest risk and expected return. Diversify across sectors and time, research top-down or bottom-up, value with DCF, asset-based or relative multiples, and time with technical analysis.

MAKE IT STICK
Two stocks: one at ₹10 with P/E 75, another at ₹100 with P/E 20. The ₹10 stock is the 'expensive' one, because you pay ₹75 for each rupee of earnings. Price tells you nothing; multiples tell you value.

1. Equity holders have the last (residual) claim on assets.

2. Cross-sectional diversification = across sectors and geographies at a time; time diversification = staying invested long ('time in the market').

3. Market (systematic) risk is measured by beta, cannot be diversified but can be hedged; sector and company-specific risks can be diversified.

4. Liquidity risk is measured by impact cost; lower impact cost = more liquid.

5. Sell-side analysts publish recommendations for clients; buy-side analysts work for fund managers for internal use.

6. EIC framework: Economy, Industry, Company; top-down starts with the economy, bottom-up with the company.

7. Industry life cycle: introduction, growth, maturity (longest), decline; defensives (FMCG, pharma) outperform in recessions; cyclicals in early recovery.

8. Price is a fact, value is an opinion; three valuation approaches: DCF, asset-based, relative valuation.

9. P/E = Price / EPS; trailing uses last four quarters, forward uses next four estimated quarters; earnings yield = EPS / Price = inverse of P/E.

10. PEG = P/E / EPS growth; below 1 suggests undervalued, above 1 overvalued.

11. P/BV popular for banks and financial services; P/S useful for loss-making or low-margin firms; EV = Market cap + Debt - Excess cash.

12. EV/EBITDA suits capital-intensive firms with no PAT; EVA = NOPAT - (Invested capital x Cost of capital); MVA = Market value - capital contributed.

13. Dividend yield = DPS / Market price x 100; rising price lowers yield.

14. Technical analysis: prices move in trends; tools include trend lines, moving averages (5 to 200 days), Bollinger bands (2 standard deviations).

PEG fair value	EV	Bollinger band trigger
1	**Market cap + Market value of debt – Excess cash**	**2 standard deviations**

Longest industry phase
Maturity

🎯 **EXAM TIP**
Quick numericals (P/E, PEG, dividend yield, earnings yield, EV) and conceptual questions on which risk can be diversified and which valuation metric suits which sector.

⚠️ **TRAP**
A good company is not automatically a good investment if its price is above intrinsic value. And earnings yield is the INVERSE of P/E, not of PEG.

Chapter 9 · Weight: Module 3 (Ch 7–10): 30 marks

Investing in Fixed Income Securities

Bonds are priced as the present value of coupons and principal at the market yield. Price and yield move inversely; duration measures sensitivity. The chapter also maps the money market, G-Sec market, corporate bond market and small savings schemes.

MAKE IT STICK

A 10% coupon, 5-year bond when the market yields 8% is worth ₹107.99, not ₹100, because it pays more than the market. Pay a premium today and the bond is 'pulled to par' at ₹100 by maturity.

1. Risks: interest-rate, call, reinvestment, credit (downgrade, spread, default), liquidity, exchange-rate, inflation, volatility, political/legal, event.
2. Holding to maturity removes interest-rate (price) risk; zero-coupon bonds and STRIPS have no reinvestment risk.
3. Bond price = sum of PV of cash flows at YTM; semi-annual payments are worth slightly more than annual for the same coupon and yield.
4. Par: G-Sec face value ₹100; corporate bonds typically ₹10,000 (as per workbook); quotes are a % of face value.
5. Coupon yield = coupon / face value; current yield = coupon / market price; YTM is the IRR of the bond.
6. At par CR = CY = YTM; at discount CR < CY < YTM; at premium CR > CY > YTM.
7. Longer maturity and lower coupon mean greater price sensitivity; the price-yield curve is convex.
8. Dirty price = clean price + accrued interest; markets quote clean price.
9. Day count: bonds 30/360; money market actual/365.
10. Perpetual bond value = Coupon / Yield (8 on 100 at 6% = ₹133.33).
11. Macaulay duration is always less than or equal to maturity; equals maturity only for a zero-coupon bond; modified duration = Macaulay / (1 + yield).
12. Yield curve shapes: normal (upward), inverted (signals recession), flat, humped.
13. Money market: call (overnight), notice (2–14 days), term (15 days-1 year), CP (7 days-1 year, ₹5 lakh multiples), CD (banks 7 days-1 year, FIs 1–3 years, ₹1 lakh multiples), CMBs under 91 days, T-bills 91/182/364 days.
14. Debenture trustee is compulsory for debentures with maturity over 18 months; DICGC insures bank deposits up to ₹5 lakh per depositor per bank.

15 Small savings: PPF 15 years, NSC 5 years (min ₹1,000), POMIS max ₹9 lakh single / ₹15 lakh joint, SCSS for 60+ (55 for retirees within 3 months), Sukanya Samriddhi (girl under 10, ₹250 to ₹1.5 lakh a year, matures at 21 years).

DICGC cover **₹5 lakh per depositor per bank**	Debenture trustee compulsory **Maturity over 18 months**	POMIS max **₹9 lakh single / ₹15 lakh joint**
Sukanya: max age at opening **10 years**	Floating Rate Savings Bond spread **NSC rate + 0.35%**	CP / CD minimum **₹5 lakh / ₹1 lakh**

🎯 EXAM TIP

Bond price and YTM numericals (use Excel PRICE and YIELD), the CR-CY-YTM ordering, duration facts, money-market tenors and small-savings limits.

⚠️ TRAP

Reinvestment risk hurts when rates FALL; price risk hurts when rates RISE. A premium bond's YTM is BELOW its coupon. Tax-saving section is cited as section 123 (corresponding to 80C) in the 2026 workbook.



Chapter 10 · Weight: Module 3 (Ch 7–10): 30 marks

Understanding Derivatives

Derivatives derive value from an underlying. Forwards are private OTC deals; futures are standardised exchange contracts; options give a right without an obligation; swaps exchange cash flows. They are used to hedge, speculate and arbitrage.

MAKE IT STICK

Buy a stock at ₹3,984 in cash and sell its futures at ₹4,032 for 27 days: you lock in ₹48, about 16.3% annualised, because spot and futures must converge on expiry. That is the engine inside every arbitrage fund.

1 SCRA includes derivatives in the definition of securities; RBI Act section 45U(a) also defines derivatives.

2 Derivatives are a zero-sum game before taxes and transaction costs.

3 SEBI mandates physical settlement for stock derivatives; index derivatives are cash settled.

4 Initial margin = SPAN margin + extreme loss margin; should cover losses in 99% of cases; option buyers pay premium margin.

5 Open interest = outstanding contracts not yet settled; it is not trading volume.

6 Forwards: bilateral, customised, OTC; suffer liquidity and counterparty risk.

7 Futures: standardised, exchange-traded, clearing house guarantees, both sides pay margin.

8 Options: buyer has right, seller (writer) has obligation; call = right to buy, put = right to sell; buyer's loss limited to premium; writer's loss potentially unlimited.

9 Option premium = intrinsic value + time value; in-the-money options have positive intrinsic value.

10 Swaps: interest rate and currency swaps; notional principal is never exchanged in an interest rate swap.

11 Futures price = Spot + cost of carry; basis = futures - spot; spot and futures converge on expiry.

12 Commodity derivatives traded on MCX, NCDEX, ICEX, NSE and BSE under SEBI; categories: bullion, metals, energy, agriculture.

13 Currency futures on USD, EUR, GBP, JPY vs INR plus cross pairs EUR-USD, GBP-USD, USD-JPY.

14 Derivatives trading started in India in June 2000; most Indian options are European.

Initial margin covers	Stock derivatives settlement	Index derivatives settlement	Derivatives trading began
99% of cases	**Physical delivery**	**Cash**	**June 2000**

🎯 EXAM TIP
Differences between forwards and futures, option buyer vs writer pay-offs, cost-of-carry pricing and arbitrage return calculations.

⚠️ TRAP
The option BUYER pays the premium and has limited loss; the WRITER receives premium and has the obligation. Open interest is not volume.



Chapter 11 · Weight: Module 4 (Ch 11–13): 23 marks

Mutual Funds

A mutual fund pools money into a portfolio owned by unitholders. Know the structure, NAV maths, open vs closed vs interval vs ETF, SEBI categories with their allocation limits, investment options, systematic plans and direct vs regular plans.

MAKE IT STICK
A fund has net assets of ₹1,00,000 and 10,000 units: NAV ₹10. If an investor were wrongly allotted at ₹10 when the NAV is ₹11.11, every other unitholder's NAV drops to ₹11. That is why every purchase and redemption must happen at the applicable NAV.

1 Sponsor sets up the fund; trustees protect investors; AMC manages schemes; R&T agent keeps investor records; SID and KIM on AMC website.

2 NAV = Net assets / Units outstanding; purchases and redemptions at NAV do not change NAV; portfolio is marked to market daily.

3 Closed-end funds must be listed; interval funds open for at least 2 days with a minimum 15-day gap between windows and are also listed.

4 Only one scheme per category per fund house, except index funds/ETFs, FoFs and sectoral/thematic funds.

5 Large cap = top 100, mid cap = 101–250, small cap = 251 onwards (AMFI list, full market cap).

6 Large cap at least 80%; mid cap 65%; small cap 65%; large and mid cap 35% + 35%; multi cap 75% equity with 25% each in large, mid, small; flexi cap 65% equity.

7 Sector and thematic funds at least 80%; value, contra, dividend yield 65% equity; an AMC can have value OR contra, not both; focussed funds max 30 stocks.

8 ELSS: at least 80% equity, 3-year lock-in, deduction up to ₹1,50,000 under section 123 (80C) in the old regime.

9 Debt: overnight 1 day; liquid under 91 days; ultra short 3–6 months Macaulay duration; ultra short to short term 6–12 months; short 1–3 years; medium 3–4; medium to long 4–7; long over 7 years.

10 Corporate bond fund 80% in AA+ and above; credit risk fund 65% in AA and below; Banking and PSU 80%; gilt 80%; floater 65%.

11 Hybrids: conservative 10–25% equity; balanced 40–60%; aggressive 65–80% equity; multi-asset at least 3 classes with 10% each; equity savings 65% equity and 10% debt.

12 Life Cycle Funds: tenure 5 to 30 years in multiples of 5, max 6 open, exit load 3%/2%/1% in years 1/2/3. Solution-oriented category discontinued from February 26, 2026.

13 FoF 95% in underlying funds; ETFs 95% in index securities; gold ETFs may put up to 20% in bank gold deposit schemes.

14 Instant Access Facility on liquid funds: lower of ₹50,000 or 90% of investment per day per scheme, residents only.

15 SIP gives rupee-cost averaging; SWP for regular pay-outs; STP moves money between schemes of the same fund; DTP moves dividends; Value Averaging invests more when markets fall.

16 Direct plan has a lower expense ratio than regular plan; same portfolio.

Interval fund window **Min 2 days, gap min 15 days**	ELSS lock-in **3 years**	Focussed fund max stocks **30**
IAF limit **Lower of ₹50,000 or 90% per day**	Specialized Investment Fund minimum **₹10 lakh**	Liquid fund maturity **Up to 91 days**

🎯 **EXAM TIP**
Category limits are tested heavily (large/mid/small cap ranks and percentages, hybrid bands, debt durations). Also NAV calculation and which systematic plan fits a need.

⚠️ **TRAP**
Aggressive hybrid is 65–80% equity, balanced is 40–60%; a fund house may offer only one of the two. Credit risk fund holds AA and BELOW, corporate bond fund AA+ and ABOVE.

Portfolio Manager

PMS offers individually managed portfolios to HNIs under the SEBI (Portfolio Managers) Regulations, 2020: discretionary, non-discretionary or advisory, with fixed and performance fees governed by hurdle rates and high-water marks.

MAKE IT STICK

Your ₹50 lakh grows to ₹60 lakh: performance fee is on ₹10 lakh of gain. Next year it slips to ₹55 lakh: no performance fee until it climbs back above ₹60 lakh. That ₹60 lakh line is the high-water mark.

1. A portfolio manager is a body corporate; first PMS regulations came in January 1993, before MF regulations.
2. Discretionary: manager decides; non-discretionary: client decides, manager executes; advisory: manager advises, client decides and executes.
3. Registration: Form A; net worth ₹5 crore; compliance officer; principal officer with relevant qualification and 5 years' experience plus NISM certification; at least one more employee with graduation and 2 years' experience.
4. Registration is valid unless suspended or cancelled.
5. Minimum investment ₹50 lakh in funds or securities.
6. Each client's securities segregated; client funds kept in a separate account with a scheduled commercial bank.
7. Max 30% of a client's portfolio in associates/related parties, with one-time written consent; no below investment grade securities.
8. Cannot borrow funds or securities for clients or derive any direct/indirect benefit from client funds.
9. Fees: fixed (e.g. 1% of assets) plus performance-linked; hurdle rate must be crossed before profit sharing; returns computed per financial year.
10. No catch-up = fee only on returns above the hurdle; catch-up = fee on the full gain once hurdle is crossed.
11. Direct access facility lets clients invest without a distributor at lower cost.
12. Disclosure Document filed with SEBI and on the website; performance reported uniformly; discretionary managers report TWRR.

PMS minimum investment **₹50 lakh**	PM net worth **₹5 crore**	Associates/related party cap **30% of client portfolio**	Principal officer experience **5 years**

Performance return measure
Time Weighted Rate of Return

🎯 EXAM TIP
Expect discretionary vs non-discretionary vs advisory, hurdle and high-water-mark fee calculations, and PM registration facts.

⚠️ TRAP
In the advisory PMS model the CLIENT executes. A high-water mark is the previous peak value, not the original investment.



Chapter 13 · Weight: Module 4 (Ch 11–13): 23 marks

Overview of Alternative Investment Funds (AIFs)

AIFs are privately pooled vehicles under the SEBI (AIF) Regulations, 2012 for sophisticated investors, split into Category I (socially/economically desirable), II (PE, debt, no leverage) and III (hedge funds, leverage).

MAKE IT STICK
A start-up VC fund, a buyout PE fund and a long-short hedge fund all sit under 'AIF', but SEBI files them differently: the VC fund in Category I, the PE fund in Category II and the hedge fund in Category III because it uses leverage and complex trading.

1. AIF = privately pooled investment vehicle; no public solicitation; max 1,000 investors per scheme.
2. Each scheme corpus at least ₹20 crore; minimum investment ₹1 crore (₹25 lakh for employees/directors of the AIF or manager).
3. Sponsor/manager continuing interest: lower of 2.5% of corpus or ₹5 crore; Category III: lower of 5% or ₹10 crore; not through fee waiver.
4. Accredited investor (individual): income at least ₹2 crore, OR net worth at least ₹7.5 crore with ₹3.75 crore in financial assets, OR income ₹1 crore plus net worth ₹5 crore with ₹2.5 crore financial; trusts and body corporates ₹50 crore net worth.
5. Close-ended AIF units can list after final close with a minimum tradable lot of ₹1 crore.
6. Concentration: Category I and II max 25% of investable funds in one investee company; Category III max 10%.
7. Investing in associates needs approval of 75% of investors by value.
8. Category I: VC (including angel), SME, social impact, infrastructure, special situation funds.
9. Category II: private equity, debt funds; leverage only for day-to-day operations. Category III: hedge funds, complex strategies, leverage, may be open-ended.
10. Angel investor (individual): net tangible assets at least ₹2 crore excluding principal residence; body corporate net worth at least ₹10 crore.
11. Special situation funds may act as resolution applicants under IBC, 2016.
12. Alternatives are characterised by illiquidity and complement traditional assets for better risk-adjusted returns.

Max investors per scheme	Minimum corpus	Minimum investment
1,000	₹20 crore	₹1 crore (₹25 lakh employees/directors)

Sponsor interest Cat I/II	Sponsor interest Cat III	Single investee limit
Lower of 2.5% or ₹5 crore	Lower of 5% or ₹10 crore	25% (Cat I/II), 10% (Cat III)

🎯 EXAM TIP
Category classification of fund types, the numeric thresholds above and accredited investor criteria are favourites.

⚠️ TRAP
Special situation funds and infrastructure funds are Category I, not II. Hedge funds are always Category III.



Chapter 14 · Weight: Module 5 (Ch 14–16): 20 marks

Introduction to Modern Portfolio Theory

Markowitz showed that portfolio risk depends on weights, individual volatilities and correlations. Combining imperfectly correlated assets reduces risk; the efficient frontier holds the best risk-return combinations.

MAKE IT STICK
Two stocks each with 5% standard deviation and 0.5 correlation, held 50:50, give a portfolio standard deviation of only 4.33%, not 5%. The missing 0.67% is the free lunch of diversification.

1. MPT: Harry Markowitz, 'Portfolio Selection', Journal of Finance, 1952; Nobel Prize 1990.
2. Assumptions: investors maximise return for given risk, maximise one-period expected utility, have diminishing marginal utility of wealth, and judge on expected return and variance only.
3. Risk averse investors reject a fair game (zero risk premium); risk neutral judge only expected return; risk seekers accept fair games.
4. Certainty equivalent rate: risk-free rate that is as attractive as the risky portfolio.
5. Expected return = sum of probability x return; portfolio expected return = weighted average of asset returns.
6. Variance from sample uses n - 1 in the denominator; standard deviation = square root of variance.
7. Two-asset variance = $w1^2\sigma1^2 + w2^2\sigma2^2 + 2w1w2\rho\sigma1\sigma2$.
8. Number of covariance terms = $(n^2 - n)/2$; 50 securities need 1,225.
9. With perfect positive correlation there is no diversification benefit; the risk-return line is straight.
10. Efficient frontier: highest return for each risk level; portfolios below it are sub-optimal.

11 Optimisation needs expected returns, standard deviations and correlations; errors in these create estimation risk.

Markowitz paper	Covariance terms	50-stock correlations	Correlation range
1952 (Nobel 1990)	$(n^2 - n)/2$	1,225	−1 to +1

🎯 EXAM TIP
Expected return with probabilities, two-asset portfolio standard deviation, covariance count and definitions of risk attitudes.

⚠️ TRAP
Portfolio standard deviation is NOT the weighted average of individual standard deviations unless correlation is exactly +1.



Chapter 15 · Weight: Module 5 (Ch 14–16): 20 marks

Portfolio Construction Process

Build portfolios from an Investment Policy Statement: objectives, constraints, personality, life-cycle stage and capital-market forecasts lead to strategic asset allocation, tactical tilts and disciplined rebalancing.

MAKE IT STICK
BB&K would call the entrepreneur who bets big an Adventurer, the trend-chaser a Celebrity, the research-driven contrarian an Individualist, the retiree protecting wealth a Guardian, and the balanced middle a Straight Arrow. Each needs a different conversation.

1 Asset allocation is the most important investment decision: 40% of variation in returns across funds and 90% of a single fund's variation over time (Brinson, Hood and Beebower 1986; Ibbotson and Kaplan 2000).

2 Correlation within the same asset class is high; across classes it is low; correlations change over time.

3 Process: policy statement, study conditions and forecasts, construct, measure and evaluate, periodic review.

4 IPS sets realistic expectations, guides the manager, gives an evaluation framework and protects the investor from inappropriate or unethical decisions.

5 Objectives: capital preservation, regular income, capital appreciation; risk and return move together, liquidity and return move inversely.

6 Liquidity needs: emergency cash (usually 2–3 months' spending in this chapter), near-term goals, investment flexibility.

7 Constraints: liquidity, regulatory (LRS USD 2,50,000; insider trading), tax, time horizon, unique preferences (ESG, ethical).

8 Sustainable investing uses ESG criteria; ethical investing is more personal and avoids 'sin' sectors.

9 BB&K uses two axes: confident vs anxious and careful vs impetuous; five types: Adventurer, Celebrity, Individualist, Guardian, Straight Arrow.

10 Life cycle: accumulation, consolidation, decumulation/spending, gifting.

11 Benchmark should match the portfolio (large cap vs Nifty 50, mid cap vs mid-cap index) and be reviewed.

12 SAA = long-term policy mix ('time in the market'); TAA = short-term tilts ('timing the market').

13 Rebalancing trades off transaction and tax costs against drift from target allocation.

Asset allocation explains (single fund)	**90% of return variation**
Asset allocation explains (across funds)	**40% of return variation**
BB&K personality types	**5**
Life-cycle phases	**Accumulation, consolidation, spending, gifting**

🎯 EXAM TIP
Personality-type identification, life-cycle phase recognition, SAA vs TAA and IPS purposes come up as both MCQs and caselet sub-questions.

⚠️ TRAP
Celebrity investors DO use advisers but are hard to handle; Adventurers usually do not use advisers. Do not swap them.



Chapter 16 · Weight: Module 5 (Ch 14–16): 20 marks

Portfolio Performance Measurement and Evaluation

Measure returns properly (HPR, TWRR, MWRR, geometric vs arithmetic, net, post-tax, cash-drag adjusted), measure risk (standard deviation, beta, tracking error) and judge skill with risk-adjusted ratios, benchmarks and attribution.

MAKE IT STICK
Manager A turns ₹100 into ₹50 and back to ₹100: arithmetic average return 25%, actual wealth gain zero. Manager B earns 10% twice: ₹121. Geometric return exposes A instantly, which is why long-term comparisons use it.

1 HPR = (Income + End - Begin) / Begin.

2 MWRR = IRR of the investor's cash flows (depends on timing); TWRR chains sub-period returns and removes the effect of cash flows; TWRR equals geometric return.

3 SEBI PM Regulations 2020 require discretionary portfolio managers to disclose performance using TWRR.

4 Arithmetic mean is the best estimate of a single future year; geometric mean is right for multi-year compounding and is always lower unless all returns are equal.

5 Net return deducts expenses, management fee, performance fee and exit load from gross return.

6 Post-tax return = Pre-tax return x (1 - tax rate).

7 Cash-drag adjusted return reports on the whole capital, including uninvested cash.

8 CAPM required return = Rf + β(Rm - Rf); Jensen alpha = actual return - CAPM required return.

9 Portfolio beta is the weighted average of individual betas; beta above 1 = more volatile than market.

10 Tracking error = standard deviation of (portfolio - benchmark) returns; tracking difference = simple return gap.

11 Sharpe = (Rp - Rf)/σp, uses total risk; Treynor = (Rp - Rf)/βp, uses systematic risk; Sortino uses downside deviation; Information ratio = active return / tracking error.

12 Use Sharpe for an investor who is not well diversified; Treynor for a well-diversified investor; identical rankings for fully diversified portfolios.

13 M^2 levers or delevers the portfolio to market volatility and compares returns directly.

14 Good benchmark: defined constituents, investable, consistent with style, same risk profile, measurable.

15 Attribution: allocation effect, selection effect; studies show market timing rarely explains outperformance; Fama's net selectivity is an absolute measure.

16 Rupee appreciation reduces returns on foreign investments; rupee depreciation adds to them.

Sharpe denominator
Standard deviation (total risk)

Treynor denominator
Beta (systematic risk)

PMS performance disclosure
TWRR

Information ratio denominator
Tracking error

🎯 EXAM TIP
Expect several numericals: Sharpe, Treynor, Jensen alpha, portfolio beta, TWRR/GMR, post-tax and currency-adjusted returns, plus 'which ratio suits which investor'.

⚠️ TRAP
Alpha is excess over the CAPM-required return, not simply over the benchmark (that is a looser definition). TWRR is for judging the manager; MWRR reflects the client's own timing.

Chapter 17 · Weight: Module 6 (Ch 17–20): 30 marks

Operational Aspects of Investment Management

The plumbing of advice: PAN and KYC, demat and remat, power of attorney, NRI accounts, nomination and transmission, minors, payment systems and documentation including the MITC.

MAKE IT STICK

A single-holder investor dies with demat holdings of ₹25 lakh and no dispute among heirs. Under the 2026 framework the family needs only a death certificate, a notarised indemnity bond and an affidavit-cum-NOC from other heirs, not a court succession certificate, because it is below the ₹30 lakh demat threshold.

1. PAN exemption for micro investments: up to ₹50,000 aggregate per fund house in a rolling 12 months or financial year, for individuals only (not HUFs or non-individuals); PAN Exempt KYC reference needed.
2. Cash investment in MFs up to ₹50,000 per investor per fund house per financial year.
3. KYC with a KRA is mandatory for MF investors; Aadhaar e-KYC accepted; IPV not needed when KYC is done via Aadhaar or online-verified documents; VIPV allowed.
4. NRI residency test: resident if in India 182 days or more, or 60 days plus 365 days in the preceding 4 years.
5. NRE/FCNR investments are fully repatriable; NRO proceeds repatriable up to USD 1 million per financial year; PINS account needed for NRI stock exchange investing.
6. NRI equity limit 5% of paid-up capital individually, 10% for all NRIs (can be raised to 24%).
7. Transmission: joint holders take precedence over nominees; single holder with nominee goes to nominee; without nominee to legal heirs.
8. Simplified transmission (uncontested): up to ₹10 lakh physical per listed entity and ₹30 lakh demat per beneficial owner; Quick Transmission for immediate relatives: ₹10,000 physical, ₹30,000 demat.
9. Up to 3 nominees in MF folio/demat; only individuals can nominate; a PoA holder cannot nominate; from September 1, 2026 new single-holder demat/MF accounts must nominate or formally opt out.
10. Minors: under 18; must be sole or first holder; no joint holders; guardian completes KYC; on majority, transactions are frozen until KYC is updated.
11. RTGS minimum ₹2 lakh; NEFT has no minimum.
12. Records for advice kept for 5 years; electronic records must be digitally signed.
13. MITC: no handling of client funds, no guaranteed returns, fee in advance up to 1 year, breakage fee up to one quarter's fee, no cash fees, optional CeFCoM via BSE, grievance path IA then SCORES then Smart ODR.
14. MF units can be bought through stock exchange platforms (BSE StAR, NSE NMF II), including SIP, STP, SWP and switches.

Micro SIP/PAN exemption	Resident test	NRO repatriation
₹50,000 per year per fund house	**182 days, or 60 + 365 in 4 years**	**USD 1 million per financial year**

Simplified transmission (demat)	Max nominees	Breakage fee cap
Up to ₹30 lakh	3	One quarter's fee

🎯 EXAM TIP
Transmission order (joint holder vs nominee), minor and NRI rules, PAN exemption, and MITC clauses are frequent; caselets may test documentation steps.

⚠️ TRAP
With a joint holding, the surviving joint holder gets the asset BEFORE the nominee. Only individuals (not HUF karta on behalf of HUF, not PoA holders) can make nominations.



Chapter 18 · Weight: Module 6 (Ch 17–20): 30 marks

Key Regulations

SCRA, SEBI Act, PFUTP, Intermediaries and Insider Trading regulations set the backdrop; the SEBI (Investment Advisers) Regulations, 2013 define who is an IA, registration, qualifications, obligations, risk profiling, suitability, disclosures, records, segregation and penalties. PMLA, FEMA, Contract Act, Guardians and Wards Act, NI Act, IBC and FATCA/CRS complete the picture.

MAKE IT STICK
An IA tells clients to sell XYZ on Monday and wants to buy XYZ for himself on Wednesday. The rule says no contrary own-account trade for 15 days; if his view genuinely changes, he must first send clients the revised view at least 24 hours before trading.

1. Investment advice includes financial planning; advice in widely available media and trading calls are not investment advice.
2. Family of client = individual, dependent spouse, dependent children, dependent parents; family of individual IA = IA, spouse, children and parents.
3. Part-time IA: also has other non-securities business; max 75 clients; must call itself 'part-time investment adviser'.
4. Registration valid until suspended or cancelled; banks/NBFCs need RBI permission and a subsidiary or separate division; foreign entities need an Indian subsidiary.
5. Exempt: general market comments, insurance agents (insurance only), pension advisers (pension only), MF distributors giving incidental advice, lawyers, CAs/CSs/CMAs/actuaries incidental to profession, fund managers of SEBI-registered entities, advice only to clients outside India (NRI/PIO clients are covered).
6. Qualification: individual IA or principal officer needs a professional qualification or graduate/PG degree or 2-year PG diploma in finance-related fields, or NISM's 1-year PGP (Investment Advisory), or CFA Charter; associated persons need any graduate degree; all need NISM certification at all times.
7. Individual IA with more than 300 clients or ₹3 crore fees in a financial year must move to non-individual registration (3-month in-principle window).
8. Non-individual IA must use 'investment adviser' in its name; deposit maintained with a scheduled bank under lien.

9 IA acts as fiduciary, takes no consideration from anyone but the client, maintains arm's length, no contrary own-account trade for 15 days (24-hour advance notice if view changes), prior SEBI approval for change in control.

10 IA using AI tools is solely responsible for data security, confidentiality and the advice; must disclose the extent of AI use to clients.

11 Fees in advance only up to 1 year; fee rules apply to individual and HUF clients that are not accredited investors.

12 Risk profiling must assess capacity to absorb loss, avoid vague or leading questions and be communicated to the client; suitability must match risk profile, objectives and knowledge.

13 Records kept 5 years; yearly compliance audit by ICAI/ICSI/ICMAI member; functional website.

14 Individual IA cannot distribute; non-individual must segregate at client level across the group; implementation only through direct plans, no implementation fee.

15 Investor charter (circular June 2, 2025): complaint data disclosed monthly by the 7th of the next month.

16 Penalty under section 15EB: at least ₹1 lakh, up to ₹1 lakh per day of continuing failure, max ₹1 crore.

17 BSE Administration and Supervision Limited (BASL) administers IAs; parent exchange needs 15 years' existence, ₹200 crore net worth, ISCs in 20 cities.

18 PMLA: records of transactions and client identity kept 5 years; FPI is less than 10% of post-issue paid-up equity of a listed company.

No contrary own trade **15 days after advice**	Advance notice if view changes **24 hours**	Individual IA migration trigger **300 clients or ₹3 crore fees**	Part-time IA client cap **75**
Record retention **5 years**	Penalty 15EB **₹1 lakh to ₹1 crore (₹1 lakh/day)**	Advance fee cap **1 year**	Complaint data disclosure **By 7th of next month**

🎯 EXAM TIP
This is the highest-yield chapter for an IA: definitions, exemptions, qualification, the 15-day/24-hour rule, segregation, record keeping, risk profiling and suitability. Learn the numbers cold.

⚠️ TRAP
Advice to NRIs and PIOs is NOT exempt even though they live abroad. MF distributors are exempt only for advice incidental to distribution. A family member of an individual IA cannot distribute to that IA's advisory client.

Chapter 19 · Weight: Module 6 (Ch 17–20): 30 marks

Ethical Issues

Ethics goes beyond legality. An IA is a fiduciary who must put the client first, disclose conflicts, give suitable advice with a reasonable basis and resolve ethical dilemmas with principle.

MAKE IT STICK

A relationship manager is told to push ULIPs because they pay more, but personally believes pure term cover suits most clients. That clash between personal and professional values is a classic ethical dilemma the chapter wants you to recognise.

1. Ethics = moral principles guiding conduct towards others (from Greek 'ethos'); it goes beyond legal compliance.
2. Client First principle: trust takes years to build and moments to lose.
3. Grievance areas: not understanding client needs, not understanding products, not knowing the wider market, churning for commission, hiding risks, poor after-sales service.
4. Examples: small-cap funds for senior citizens, arbitrage funds sold as liquid-fund substitutes, distress debt AIFs without explaining default risk.
5. Ethical dilemma: choice between alternatives where neither is clearly superior; a pure dilemma is where every option breaches some principle.
6. Resolve by deeper analysis, principles (most good or least harm) or reframing the problem.
7. Fiduciary duty rests on utmost good faith (uberrimae fidei): full disclosure, suitable advice, reasonable basis, proper execution without conflict.
8. SEBI Do's: deal only with registered IAs, verify registration, pay fees only through banking channels, insist on risk profiling, get terms in writing, report assured-return offers.
9. SEBI Don'ts: no stock tips, never give money for investment to the IA, no assured returns, no luring ads, no limited-period discounts, no decisions on calls alone.
10. Annual compliance audit by a practising Chartered Accountant (per this chapter); material observations disclosed to clients.
11. Global practice: US SEC requires disclosure of financial condition impairing obligations and material disciplinary events of the past 10 years.

Fiduciary principle	Compliance audit frequency	SEC disciplinary disclosure
Uberrimae fidei (utmost good faith)	**Yearly**	**Past 10 years**

🎯 EXAM TIP

Scenario questions: identify the unethical act (churning, mis-selling, hiding risk) or the correct fiduciary response.

⚠️ TRAP

Being legal is not the same as being ethical; options saying 'legal requirements are the final benchmark' are wrong.

Chapter 20 · Weight: Module 6 (Ch 17–20): 30 marks

Grievance Redress Mechanism

Complain first to the provider, then to the regulator's system (SCORES, RBI Integrated Ombudsman, IRDAI IGMS and Insurance Ombudsman, NPS Trust), then ODR, SAT, courts or consumer forums.

MAKE IT STICK

A client unhappy with her IA writes to the IA first. Still unhappy, she files on SCORES. Still unhappy, she goes to Smart ODR for conciliation or arbitration. Three doors, in that order.

1. Consumer Protection Act, 1986: a consumer buys goods or hires services for consideration; excludes purchase for resale or commercial purpose.
2. A robust system records source, date and time, nature, internal vs external resolution, status (ATR), ageing and escalation.
3. IA offices must display details of the compliance officer and CEO/partner/proprietor.
4. Capital market path: market participant, then SCORES, then ODR portal (which can also be used at any stage after the participant fails to resolve).
5. SCORES does not take incomplete complaints, suggestions, complaints about trading price or illiquidity, or private agreement disputes; SEBI does not handle complaints against unlisted/delisted/wound-up companies, sub-judice matters or other regulators' areas.
6. Banking: three-tier internal (Branch Manager, Zonal Manager, GM-Customer Service); Integrated Ombudsman if no satisfactory reply within one month; ombudsman passes an award if no settlement within one month.
7. BCSBI was set up by RBI as an independent watchdog of fair treatment; CPGRAMS (pgportal.gov.in) handles public grievances.
8. Insurance: insurer first, IGMS, then Insurance Ombudsman (appointed by Government of India) for claim repudiation, premium disputes, delays, non-issue of documents; recommendation within one month, award within 3 months; acceptance within one month.
9. NPS: CRA (NSDL e-Gov), then NPS Trust if unresolved in 30 days, then Ombudsman.
10. SAT (sections 15T/15U SEBI Act): appeal within 45 days against SEBI, adjudicating officer, IRDAI or PFRDA orders; has civil court powers; appeal to Supreme Court within 60 days.
11. NBFC deposit non-repayment: NCLT or consumer forum; unlisted company bonds/deposits: Ministry of Corporate Affairs.

Appeal to SAT	Within 45 days
Appeal to Supreme Court from SAT	Within 60 days
Bank complaint wait before Ombudsman	1 month
Insurance Ombudsman award	Within 3 months
NPS escalation to NPS Trust	After 30 days

🎯 EXAM TIP

Sequence questions (who to approach first, next, last) and time limits for SAT, ombudsmen and NPS are common.

⚠️ TRAP

SAT hears appeals against IRDAI and PFRDA orders too, not just SEBI. SCORES does not take complaints about a share's market price.

🧮 Formulas

Future Value

```
FV = PV x (1 + r)^n
```

₹2,00,000 at 9% for 6 years = 2,00,000 x 1.09^6 = ₹3,35,420

Present Value

```
PV = FV / (1 + r)^n
```

₹10 lakh needed in 8 years at 7% = 10,00,000 / 1.07^8 = ₹5,82,009

PV of ordinary annuity

```
PV = C x [1 - 1/(1+r)^n] / r
```

₹8,000 a year for 6 years at 8% = ₹36,983; as annuity due (x 1.08) = ₹39,942

Perpetuity

```
PV = C / r
```

₹12,000 a year forever at 6% = ₹2,00,000

CAGR

```
CAGR = (End / Begin)^(1/n) - 1 (n in years; for d days use 365/d as exponent)
```

₹50,000 to ₹80,000 in 4 years = 1.6^0.25 - 1 = 12.47%

EMI

```
EMI = P x r / [1 - (1+r)^-n] (r monthly, n months) = PMT(r,n,-P)
```

₹25 lakh, 8.5%, 20 years: PMT(0.085/12,240,-2500000) = ₹21,696

Effective annual cost

```
(1 + monthly rate)^12 - 1
```

2.5% a month = 1.025^12 - 1 = 34.49% a year

Savings ratio / Expense ratio

```
Savings / Income; Expense ratio = 1 - Savings ratio
```

Income ₹12 lakh, savings ₹2.4 lakh: savings ratio 20%, expense ratio 80%

Leverage and Solvency ratio

```
Leverage = Liabilities / Assets; Solvency = Net worth / Assets = 1 - Leverage
```

Assets ₹90 lakh, liabilities ₹18 lakh: leverage 20%, solvency 80%

Liquidity ratio

```
Liquid assets / Monthly expenses (incl. EMIs)
```

Liquid assets ₹12 lakh, monthly outgo ₹2 lakh = 6 months

Debt-to-income ratio

```
Monthly debt servicing / Monthly income
```

EMIs ₹45,000 on income ₹1,20,000 = 37.5% (near the 35–40% danger zone)

Financial assets ratio

```
Financial assets / Total assets
```

₹26 lakh financial out of ₹50 lakh total = 52%

P/E and Earnings yield

```
P/E = Price / EPS; Earnings yield = EPS / Price
```

Price ₹240, EPS ₹12: P/E 20, earnings yield 5%

PEG ratio

```
PEG = P/E / EPS growth rate
```

P/E 18, growth 24%: PEG 0.75 (below 1, looks undervalued)

Dividend yield

```
DPS / Market price x 100
```

DPS ₹6 on price ₹150 = 4%

Enterprise value

```
EV = Market cap + Market value of debt - Excess cash
```

Mcap ₹800 cr + debt ₹300 cr - cash ₹100 cr = ₹1,000 cr

Bond price

```
Price = sum of C/(1+y)^t + FV/(1+y)^n
```

9% 3-year bond at 7% yield = ₹105.25

Current yield

```
Annual coupon / Market price
```

₹7.50 coupon on price ₹96 = 7.81%

Perpetual bond

```
Value = Coupon / Yield
```

₹9 coupon at 7.5% yield = ₹120

Modified duration

```
Macaulay duration / (1 + yield)
```

Macaulay 2.74 years at 10% = 2.49

Futures fair price

```
F = S + cost of carry
```

Spot ₹2,000, 7% for 60 days: 2,000 x (1 + 0.07 x 60/365) = ₹2,023

Cash-futures arbitrage return

```
(F - S)/S x 365/days
```

Buy at ₹1,500, sell futures at ₹1,512, 30 days = 9.73% p.a.

NAV

```
Net assets / Units outstanding
```

Net assets ₹50.8 crore over 4 crore units = ₹12.70

Expected return

```
Sum of probability x return
```

25% x 20% + 50% x 12% + 25% x (-4%) = 10%

Two-asset portfolio variance

```
w1²σ1² + w2²σ2² + 2w1w2ρσ1σ2
```

60:40, σ 20% and 10%, ρ 0.3: variance 0.01888, σp = 13.74%

Number of covariance terms

```
(n² - n) / 2
```

30 securities = 435

Holding period return

```
(Income + End - Begin) / Begin
```

₹12 lakh to ₹13.2 lakh plus ₹30,000 income = 12.5%

TWRR / Geometric mean

```
[(1+r1)(1+r2)...(1+rn)]^(1/n) - 1
```

+12%, -5%, +18%: GMR 7.88% vs arithmetic 8.33%

Post-tax return

```
Pre-tax x (1 - tax rate)
```

9% pre-tax at 30% tax = 6.3%

CAPM and Jensen alpha

```
Required = Rf + β(Rm - Rf); Alpha = Actual - Required
```

Rf 6%, β 1.2, Rm 14%: required 15.6%; actual 18% gives alpha 2.4%

Portfolio beta

```
Weighted average of betas
```

50% at 1.4, 30% at 0.9, 20% at 0.6 = 1.09

Sharpe ratio

```
(Rp - Rf) / σp
```

(14% - 6%) / 16% = 0.50

Treynor ratio

```
(Rp - Rf) / βp
```

(14% - 6%) / 1.25 = 0.064

Information ratio

```
(Rp - Rb) / Tracking error
```

(15% - 12%) / 4% = 0.75

M-squared

```
rp* = (σm/σp) x Rp + (1 - σm/σp) x Rf; compare with Rm
```

σp 25%, σm 20%, Rp 22%, Rf 6%: 0.8 x 22 + 0.2 x 6 = 18.8% vs market 16% = outperform

Currency-adjusted return

```
(USD value at end x end rate) / INR invested - 1
```

₹41.5 lakh at ₹83/$, fund +10%, rupee to ₹86/$: ₹47.3 lakh = 13.98%

🔢 Numbers to remember

90 MCQ + 9 caselets (45 Qs), 150 marks, 3 hours Exam	**60% = 90 marks** Pass mark	**25% of question marks** Negative marking
6 months of expenses Emergency fund	**Above 35-40%** Debt-to-income danger	**300-900** CIBIL score range
₹1,00,000 Payments bank deposit cap	**10%, 15%, 20%** Circuit breakers	**₹10,000-15,000** IPO minimum application
₹5 lakh per bank DICGC insurance	**USD 2,50,000 a year** LRS limit	**1-100 / 101-250 / 251+** Large/Mid/Small cap ranks
3 years ELSS lock-in	**Up to 91 days** Liquid fund maturity	**₹10 lakh** Specialized Investment Fund ticket
₹50 lakh PMS minimum	**₹5 crore** PM net worth	**₹1 crore / ₹20 crore** AIF minimum / corpus
1,000 per scheme AIF max investors	**25% (Cat I/II), 10% (Cat III)** AIF single investee limit	**1,225** Covariance terms for 50 stocks
90% (single fund over time), 40% (across funds) Asset allocation explains	**15 days (24 hours' notice if view changes)** IA contrary own trade bar	**300 clients or ₹3 crore fees** Individual IA migration
Max 75 Part-time IA clients	**5 years** Record keeping (IA and PMLA)	**Max 1 year / max one quarter** Advance fee / breakage fee
₹1 lakh min, ₹1 lakh/day, max ₹1 crore IA penalty (s.15EB)	**15 years, ₹200 cr net worth, ISCs in 20 cities** BASL parent exchange	**182 days, or 60 + 365 over 4 years** Resident test
USD 1 million per FY NRO repatriation	**₹50,000 per fund house per year** PAN-exempt micro investment	**₹10 lakh physical / ₹30 lakh demat** Simplified transmission
45 days / 60 days SAT appeal / SC appeal	**3 months** Insurance Ombudsman award	**30 days** NPS escalation

📖 Glossary

Fiduciary	Someone who must act in the client's best interest with utmost good faith; SEBI requires IAs to act in a fiduciary capacity.
Part-time investment adviser	An IA that also runs a non-securities business or employment; capped at 75 clients.
Persons associated with investment advice	Partners, officers, employees or sales staff of an IA who give advice to its clients.
Principal officer	The senior person (MD, designated director, managing partner or business head) responsible for a non-individual IA's advisory business.
Family of client	Individual client plus dependent spouse, dependent children and dependent parents.
Trading calls	Intraday, ultra-short, non-delivery or non-personalised recommendations; not investment advice under the IA Regulations.
MITC	Most Important Terms and Conditions that must form part of every investment advisory agreement.
CeFCoM	Centralised Fee Collection Mechanism run by BSE through which clients may optionally pay IA fees.
BASL	BSE Administration and Supervision Limited, the body recognised to administer and supervise IAs.
Annuity due	A series of equal payments made at the beginning of each period; worth more than an ordinary annuity.
Perpetuity	A cash flow that continues forever; valued at C/r.
Leverage ratio	Total liabilities divided by total assets.
Liquidity ratio	Liquid assets divided by monthly expenses; shows months of cover.
Avalanche method	Paying off the highest-interest debt first.
Hypothecation	A charge on a movable asset that stays with the borrower, e.g. a car loan.
Novation	Clearing corporation stepping in as counterparty to both sides of every trade.
Credit spread	Extra yield of a corporate bond over a G-Sec of the same maturity.
Macaulay duration	Weighted average time to receive a bond's cash flows in PV terms; equals maturity only for a zero-coupon bond.
STRIPS	Zero-coupon securities created by separating a G-Sec's coupons and principal.
Cost of carry	Interest and holding cost that explains why futures trade above spot.
Open interest	Number of outstanding derivative contracts not yet closed.

High-water mark	Previous peak portfolio value above which a PMS can again charge performance fees.
Hurdle rate	Minimum return that must be exceeded before profit-sharing fees apply.
Accredited investor	Investor meeting SEBI income/net-worth tests, eligible for lower AIF tickets and other flexibilities.
Efficient frontier	Set of portfolios offering the highest expected return for each level of risk.
Investment Policy Statement	Road map listing a client's objectives, constraints, risk tolerance and review process.
Tactical asset allocation	Short-term deviations from the strategic mix to exploit market opportunities.
TWRR	Time-weighted rate of return: chain-linked sub-period returns that neutralise client cash-flow timing.
Tracking error	Standard deviation of the difference between portfolio and benchmark returns.
Jensen alpha	Return earned above the CAPM-required return.
Transmission	Transfer of investments to joint holders, nominees or heirs on an investor's death.
SCORES	SEBI's online complaint redress system.
Smart ODR	Online dispute resolution portal for securities-market disputes after internal and SCORES routes.

⚡ Quick revision: the night before

1. Exam: 90 MCQs (1 mark) + 6 caselets x 5 Qs (1 mark) + 3 caselets x 5 Qs (2 marks) = 150 marks; pass 90; minus 25% for wrong answers.
2. Financial planning process has 6 steps; 'financing the investments' is not one of them.
3. Annuity due = ordinary annuity x (1 + r). Perpetuity = C/r.
4. CAGR over d days uses exponent 365/d.
5. Emergency fund: 6 months of expenses in liquid assets.
6. Leverage = liabilities/assets; solvency = 1 - leverage; liquidity ratio 4–6 is comfortable.
7. Debt-to-income above 35–40% is excessive.
8. 3% a month on a credit card = 42.6% a year.
9. Avalanche = highest rate first; snowball = smallest balance first; blizzard = snowball then avalanche.
10. Pledge: lender holds asset; hypothecation: borrower holds asset; mortgage: immovable property.
11. Securities defined in Section 2(h) of SCRA, 1956.
12. Price band up to 20% above floor; retail discount max 10%; minimum bid ₹10,000–15,000; ASBA only.
13. Circuit breakers at 10%, 15%, 20% on Sensex or Nifty.
14. BBB and above = investment grade.
15. PEG below 1 = undervalued; earnings yield = 1/P-E.
16. Premium bond: coupon > current yield > YTM; discount bond: the reverse.
17. Duration equals maturity only for a zero-coupon bond; modified duration = Macaulay/(1+y).
18. DICGC ₹5 lakh per bank; debenture trustee compulsory above 18 months.
19. Stock derivatives physically settled; index derivatives cash settled.
20. Large cap 1–100 (80% min), mid cap 101–250 (65%), small cap 251+ (65%).
21. Interval fund: window at least 2 days, gap at least 15 days.
22. PMS min ₹50 lakh; associates max 30%; PM net worth ₹5 crore.
23. AIF: ₹1 crore min, ₹20 crore corpus, 1,000 investors max; Cat III = hedge funds.
24. Covariance terms = $(n^2 - n)/2$.
25. BB&K types: Adventurer, Celebrity, Individualist, Guardian, Straight Arrow.
26. SAA = time in the market; TAA = timing the market.
27. Sharpe uses σ, Treynor uses β, Sortino uses downside σ, IR uses tracking error.
28. Discretionary PMS performance is reported as TWRR.
29. IA: no contrary own-account trade for 15 days; 24 hours' advance notice to clients if the view changes.
30. Individual IA moves to non-individual at 300 clients or ₹3 crore fees; part-time IA max 75 clients.
31. Advice to NRI/PIO clients is within SEBI IA Regulations.
32. Records kept 5 years; annual compliance audit; fees only via banking channels, never cash.
33. Advance fee max 1 year; breakage fee max one quarter.
34. IA using AI tools is solely responsible and must disclose the extent of AI use.
35. Penalty s.15EB: ₹1 lakh min, ₹1 lakh/day, max ₹1 crore.
36. Grievance path: IA, then SCORES, then Smart ODR.
37. SAT appeal within 45 days; Supreme Court within 60 days.
38. Joint holder beats nominee in transmission; up to 3 nominees.

🗓️ 21-day study plan (2 h/day)

Days 1–4: Module 1: planning, TVM, ratios, debt

- Read Ch 1–4 notes and work every formula in Excel (PV, FV, PMT, NPER, RATE, IPMT, PPMT)
- Build a one-page ratio sheet (savings, expense, leverage, solvency, liquidity, DTI)
- Take Mock 1

Days 5–6: Module 2: markets and segments

- Regulator matching table (MoF departments, RBI, SEBI, IRDAI, PFRDA)
- Book-building cut-off and corporate action drills

Days 7–10: Module 3: equity, bonds, derivatives

- Valuation multiples and bond pricing/YTM in Excel (PRICE, YIELD)
- Money market and small savings limits flashcards
- Option pay-offs and cost of carry
- Take Mock 2

Days 11–13: Module 4: MF, PMS, AIF

- Memorise SEBI scheme category limits
- Hurdle/high-water mark worked examples
- AIF category and numeric thresholds
- Take Mock 3

Days 14–16: Module 5: MPT, construction, performance

- Portfolio variance, TWRR/GMR, Sharpe/Treynor/Jensen/IR/M² drills
- BB&K and life-cycle cases
- Take Mock 4

Days 17–19: Module 6: operations, IA regulations, ethics, grievances

- Learn IA Regulations numbers cold (15 days, 24 hours, 300/₹3 crore, 75, 5 years)
- Transmission, nomination, NRI and minor rules
- Grievance sequences and timelines
- Take Mock 5

Days 20–21: Full simulation and revision

- Take Mocks 6 and 7 under timed conditions and review every caselet
- Run the 135-question simulator once
- Read quickRevision and numbersToRemember the night before

Independent study notes prepared from the official NISM workbook. Verify against the latest workbook on nism.ac.in.